

22STCV08770 22STCV08770

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Case Number: 22STCV08770 Hearing Date: September 11, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: September 11, 2026 TRIAL DATE: Disposed by jury verdict

CASE: Felix

Chac Chuo, et al. v. Minghong Investment, Inc., et al.

CASE NO.: 22STCV08770

RULING

ON PLAINTIFFS' EQUITABLE CLAIMS FOLLOWING JURY VERDICT

I. INTRODUCTION

This is a consolidated action concerning the sale and transfer of a farm business in Thermal, California.

On May 19, 2026, the jury returned a verdict in favor of plaintiffs and cross-defendants Felix Chac Chuo, Stella Chuo, and Felix Chac Chuo Farm, Inc. (collectively, "Plaintiffs") on twelve causes of action in their Second Amended Complaint ("SAC") against defendant and cross-complainant Minghong Investment, Inc. ("Minghong"), defendant Bin "Billy Yu ("Yu"), B&D Consulting, Corp. ("B&D"), and defendant Chris Yau ("Yau"). The jury also returned a verdict denying Minghong's claims. The only remaining claims to be decided are Plaintiffs' and Minghong's equitable claims. Given the court's independent evaluation of the evidence as well as the jury's verdict in favor of Plaintiffs, the court

finds in favor of Plaintiffs and against Minghong on Minghong's equitable claims.[1]

The court is in receipt of the parties' written arguments, as well as Plaintiffs' and Minghong's respective responses to the court's tentative ruling on Plaintiffs' equitable claims. The court begins by setting forth the applicable law. In Section III, the court addresses Plaintiffs' equitable claims against Yau. In Section III, the court addresses Plaintiffs' equitable claims against Minghong and Yu.

II. APPLICABLE LAW

UCL claims are equitable in nature and "were intended to be decided by the court rather than a jury." (Nationwide Biweekly Administration, Inc. v. Superior Court (2020) 9 Cal.5th 279, 304.) "The order of trial, in mixed actions with equitable and legal issues, has great significance because the first factfinder may bind the second when determining factual issues common to the equitable and legal issues." (Hoopes v. Dolan (2008) 168 Cal.App.4th 146, 156–157, citing Wegner et al., Cal. Practice Guide: Civil Trials and Evidence (The Rutter Group 1993) ¶ 2:160, p. 2–32.1.) "[W]hen the legal claims are decided first by a jury, i.e., the jury's findings are binding in the trial court's subsequent disposition of the equitable claims." (Rincon EV Realty LLC v. CP III Rincon Towers, Inc. (2019) 43 Cal.App.5th 988, 993.)

III. DISCUSSION RE EQUITABLE CLAIMS AGAINST YAU

As discussed above, the jury returned a verdict in Plaintiffs favor and against Yau based, in part, on a finding of fraud. Yau concedes this finding. Plaintiffs now seek restitution against Yau on their seventh cause of action for violation of Business and Professions Code section 17200 (the "UCL") in the sum of \$4,000, which represents the amount Plaintiffs paid to Yau.

Plaintiffs argue Yau should pay \$4,000 in restitution because the funds were paid as part of the same fraudulent scheme. Yau counters that Plaintiffs paid that amount for accounting and consulting

services work she performed through nonparty Lighthouse Consultants, Inc. Stated another way, Yau argues the \$4,000 was performed separate from the fraudulent scheme. Yau also argues that the evidence does not identify which of the plaintiffs paid Yau for her services.

The UCL

prohibits business practices that are “unlawful,” “unfair,” or “fraudulent.” (Bus. & Prof. Code

§17200.) To prevail under the UCL, a

plaintiff must show: (1) economic injury caused by the challenged practice; (2)

a practice that fits one of the three statutory categories; and (3) available

equitable relief. Restitution is an available, equitable remedy. (Kwikset

Corp. v. Superior Court (2011) 51 Cal.4th 310, 322-323.)

The court

will award Plaintiffs restitution of \$4,000 on their UCL claim against

Yau. The evidence presented established

that Yau performed work for Plaintiffs through Lighthouse Consultants, Inc. as

part of Minghong’s acquisition of the farm. Further, Yau testified at trial that she

received the payments from Plaintiffs.

Thus, it does not matter if Plaintiffs did not identify the specific

plaintiff who made the payments. Viewed

in conjunction with the jury’s fraud finding, restitution is therefore

available and awarded in equity against Yau.

III. DISCUSSION

RE EQUITABLE CLAIMS AGAINST MINGHONG AND YU

Plaintiffs’

equitable claims against Minghong and B Yu consist of the seventh, fourteenth,

sixteenth, seventeenth, eighteenth, nineteenth, and twentieth causes of action.

A. UCL Claim (7th COA)

1. Fraudulent Prong

Pursuant to the fraudulent prong of

the UCL, Plaintiffs seek restitution of \$3,164,279.92 for “guaranteed

expenses,” that were never actually incurred in whole by Minghong, and injunctive

relief in the form of cancellation and reconveyance of the deed of trust and

expungement of any related liens for APN 007-010-0811.

Minghong argues restitution should not be awarded on the UCL claim because (1) Plaintiffs' own damages expert credited Minghong with \$2,088,798 in actual expenses incurred in connection to the Consulting Services Agreement ("CSA") and identified an overpayment of \$1,075,482, and (2) the jury already awarded Plaintiffs \$1,000,000 for breach of the CSA. For these reasons, Minghong contends any restitution award would be duplicative of the jury's award.

In reply, Plaintiffs argue they may recover the entire \$3 million figure because the CSA conferred no benefit to them. Naturally, Minghong disputes that position.

Based on the evidence presented and the arguments of counsel, the court finds that Plaintiffs are entitled to restitution in the sum of \$2,000,000. The court arrives at this figure by crediting Plaintiffs' evidence showing they received little benefit from the CSA. (See *In re Tobacco Cases II* (2015) 240 Cal.App.4th 779, 795.) The court declines to award the full requested amount of \$3,164,279.92 in consideration of the jury's verdict awarding \$1,000,000 for breach of the CSA. Further, although there is no published opinion holding that cancellation and reconveyance of a deed of trust may be ordered in equity, the court concludes that the broad language of the UCL itself warrants such relief in this case. The UCL states, in relevant part, "Any person who engages, has engaged, or proposes to engage in unfair competition may be enjoined in any court of competent jurisdiction. The court may make such orders or judgments, including the appointment of a receiver, as may be necessary to prevent the use or employment by any person of any practice which constitutes unfair competition, as defined in this chapter, or as may be necessary to restore to any person in interest any money or property, real or personal, which may have been acquired by means of such unfair competition." (Bus. & Prof. Code, § 17203.) Cancellation and reconveyance of the deed of trust is warranted here because Plaintiffs executed the deed of trust as part of the sale transaction with Minghong. Because the jury found in favor of Plaintiffs, including on their claim of fraud in the transaction, Plaintiffs are entitled to the requested injunctive relief.

As to Yu, Plaintiffs seek restitution of \$300,000 against Yu. The amount represents the commission

Plaintiffs paid to Yu in connection to the sale transaction. Yu argues the request should be denied because Plaintiffs elected to affirm the sale transaction rather than rescind it (i.e., retain the benefits of \$6 million paid under the transaction). The court previously rejected this argument. Upon further consideration, the court declines to grant this relief.

Awarding Plaintiffs' the \$300,000 commission paid to Yu for brokering the transaction between Plaintiffs and Minghong would result in a windfall to Plaintiffs because Plaintiffs are retaining the entire \$6 million purchase paid by Minghong. In other words, Yu's work benefited Plaintiffs. As such, the court finds that Plaintiffs are not entitled to this restitution award against Yu.

2.

Unlawful Prong

Pursuant to the unlawful prong of the UCL, Plaintiffs seek a judgment confirming and incorporating the jury's damages award on Plaintiff's Labor Code claims under the UCL against Minghong and Yu. Plaintiffs point to Trial Exhibit 470 which reflects the jury's Labor Code wage calculations. Because the jury's findings direct the court's ruling on the equitable claims, the court finds that Plaintiffs are entitled to the requested relief. The court further finds that Trial Exhibit 470 provides a sufficient calculation of Plaintiffs' damages in restitution for a four-year period. The court declines to apply Minghong's requested three year does not present any argument in its response which pers

B. Failure to Maintain Payroll Records (14th COA)

Plaintiffs

seek a total penalty of \$1,000. However, there is no private right of action for violation of Labor Code section 1174.5. (Noe v. Superior Court (2015) 237 Cal.App.4th 316, 336-340.) Further, civil penalties under Labor Code section 1174.5 may be awarded only in connection to a PAGA action. (Id.).

The court has already awarded Plaintiffs the requested sums of \$500 for Felix Chuo and \$1,100 for Stella Chuo in connection to their PAGA claim. In sum, the court declines to award Plaintiffs the requested relief.

C.

Invalid Farm Labor Contract (16th COA)

This cause of action provides for the same measure of damages and attorney fees that the Chuos have already been awarded. The court does not discuss this cause of action further.

D. Independent Contractor Misclassification (17th COA)

The court declines to award civil penalties under Labor Code section 226.8 for the same reasons discussed in connection to the fourteenth cause of action.

E. Civil Penalties Under PAGA (18th COA)

Plaintiffs

seek PAGA penalties of \$3,500 for Felix Chuo and \$7,700 for Stella Chuo. Under Labor Code section 2698, PAGA penalties are established on a per pay period basis, with first violations penalized at \$100 and subsequent violations penalized at \$200.

Based on

the briefing, the evidence presented, and the jury's findings on Plaintiffs Labor Code claims, the court finds an award of \$2,400 for Felix Chuo and \$4,800 for Stella Chuo is warranted. The reduction is appropriate because, as Plaintiffs acknowledge, there is no evidence that the Labor Commissioner previously notified Defendants of their Labor Code violations. Minghong and Yu fail to show the requested penalties should be lowered any further.

F. Failure to Compensate for All Hours Worked (19th COA)

There is no dispute that this claim is enforceable through Plaintiffs' PAGA cause of action. The court does not address this cause of action further.

G. Conversion (20th COA)

Plaintiffs

request that the court order cancellation of the deeds of trust and any related instruments, direct their reconveyance, and expunge any liens arising from the purported loan structure. Given that the court has awarded this relief in connection to Plaintiffs' UCL claim, the request is DENIED as MOOT.

IV. CONCLUSION

Plaintiffs are awarded restitution and injunctive relief as indicated herein.

Pursuant to

Plaintiffs' request, the 21st, 22nd, and 23rd causes of action are DISMISSED.

Plaintiffs give notice, unless waived.

Dated: September 11,
2026

Brock T. Hammond

Judge of the Superior Court

[1] Perhaps in acknowledgment of the jury's verdict, Minghong does not present any substantive argument in support of their equitable claims.